#11 · 3.4% of marks

Ch 15 – Startup Finance

Pure theory – 4-mark questions. SM TYK theory Qs: **innovative sources of funding a start-up** (para 2) · **pitch presentation** (para 3). Also asked: unicorn, VC characteristics / stages / process, Startup India definition, succession planning.

① Basics of startup financing (SM 1)

→ *Initial infusion of money to turn an idea into reality. **Banks aren't interested** – no assets to rely on, cash flows / repayment capacity can't be forecast*

→ *Left with: sell assets, borrow against home, family & friends – risk of bankruptcy and strained relationships → keep family loans **strictly business-like***

→ *Speed up operations so outside investors can see the venture and the founder's own risk; **bootstrapping** (personal finances or the venture's operating revenue) avoids investors dictating terms; need a strong **business plan** and advice from experienced entrepreneurs*

② Innovative ways to finance a startup (SM 2) – TYK Q1

*Banks are the least likely benefactors → **maximise non-bank financing**.*

Source	SM point
(i) **Personal financing**	Investors won't put money in if the founder hasn't contributed own savings
(ii) **Personal credit lines**	Based on personal credit (eg credit cards); banks cautious – only if the business has cash flow to repay
(iii) **Family & friends**	Believe in you; keep the loan **in writing** (promissory note)
(iv) **Peer-to-peer lending**	Group of people lend to each other; small / ethnic groups of similar faith or interest support each other
(v) **Crowdfunding**	Small amounts from a **large number** of individuals via social media & crowdfunding websites
(vi) **Microloans**	Small loans by individuals at **lower interest**; one individual or aggregated across many
(vii) **Vendor financing**	Company lends to its customer to buy its products; or suppliers **defer payment** until goods are sold (30 → 45 / 60 days) – depends on creditworthiness, may cost more
(viii) **Purchase order financing**	Startups can't fund a large new order → PO financier **pays the supplier directly**; transaction completes, profit flows to the startup
(ix) **Factoring receivables**	Factor pays most (say **80–90%**) upfront; balance on due date after collecting, less interest

③ Pitch presentation (SM 3) — TYK Q2

Short presentation (**not more than 20 minutes**) to investors on the company's prospects and why they should invest; usually a PowerPoint **pitch deck** giving a quick overview of the business plan; face-to-face or online, to investors, customers, partners, co-founders. **9 points**:

1. **Introduction** — who you are, what you do; short; interesting facts, milestones
2. **Team** — investors invest in the team, not only the idea; promoter's background; past joint results
3. **Problem** — the problem solved. SM eg: **Facebook (2004) vs Orkut** — profile visible only if you are added (privacy)
4. **Solution** — how it is solved. SM eg: **Flipkart (2007)** — cash on delivery (cards rare) + own supply chain for timely delivery
5. **Marketing / sales** — market size, target customers, how to attract them, growth & revenue forecasts
6. **Projections / milestones** — educated guess if no history: **income statement** (monthly in year 1, quarterly in year 2, annual after), **cash flow** (cash burn / generated, closing cash), **balance sheet** (annual)
7. **Competition** — how you differ; details of competitors acquired (names, prices)
8. **Business model** — how the company earns revenue and profit; gross profit compares models. SM eg: two movie-rental firms, revenue ₹5 cr; A goes online → COGS ₹4 cr → ₹2 cr → GP margin **20%** → **60%**. Show revenue streams & timeline, pricing vs competitors, **customer acquisition cost, lifetime value**, retention
9. **Financing** — money raised, from whom, how used; if none, what was achieved with minimum funding; how much is sought and its use; investors like founders who invested own money

④ Unicorn (SM 4)

- → **Privately held** start-up valued at **US$1 billion**; term coined by VC **Aileen Lee in 2013**; mythical animal = statistical **rarity** of success. Features: private · US$1 bn valuation · rarity · new ideas, disruptive innovation, consumer focus, high technology
- → Status can be **lost** if valuation slips below US$1 bn
- → India's first: **InMobi** (Sept 2011; SoftBank US$200 m; founded 2007). Fastest: **Udaan** (2018, just over 2 years). Then Flipkart 2012, Mu Sigma 2013, Ola & Snapdeal 2014, Paytm / Quikr / Zomato 2015 …
- → India = **3rd largest** start-up ecosystem (after US, China); 59,000+ DPIIT-recognised start-ups; as of 3 Oct 2023, **111 unicorns** worth US$349.67 bn. Next milestone: **Decacorn** (> US$10 bn)

5 Bootstrapping (SM 5.1.1)

Start and build from personal finances or the company's operating revenue. More money at inception → complacency and waste; own savings → caution, curbs waste.

- → **(a) Trade credit** — suppliers reluctant; show a well-crafted financial plan to the owner / CFO, get a reference; maybe half on credit; **sell before you pay**; cuts working capital (esp. retail)
- → **(b) Factoring** — receivables sold to a commercial finance company, which collects and does the paperwork; can be on a **non-notification** basis; cuts bookkeeping, collection, credit-check costs; frees cash (esp. B2B / government with long delays)
- → **(c) Leasing** — lease the photocopier (₹5,000 p.m. vs ₹1,00,000) or van (vs ₹5,00,000). Lessor: depreciation tax benefit, capital appreciation, profit. Lessee: smaller payments, can walk away at end, lease rentals tax-deductible

6 Angel investors (SM 5.1.2)

- → Invest in small startups, often from family & friends; one-time or ongoing; **more favourable terms** — invest in the **entrepreneur** rather than the viability of the business; focus on first steps, not profit
- → Also called informal investors, angel funders, private, seed investors, business angels; affluent individuals; take **equity or convertible debt**; may use crowdfunding platforms / angel networks
- → Use **own money** (VCs manage pooled funds); vehicle may be an LLC, business, trust or fund. Early failure = total loss → look for a defined **exit** (acquisition, IPO)

7 Venture capital (SM 5.1.3)

Investment vehicle managing investors' funds for startups with **exceptional growth potential**; professionals invest alongside management in young, rapidly growing companies. VCs: finance new & rapidly growing companies · buy **equity** · help develop new products · add value through **active participation**.

Characteristics (4)

(i) **Long horizon** — minimum **3**, maximum **10 years** (ii) **Lack of liquidity** — adds an illiquidity premium (iii) **High risk**, high return (iv) **Equity participation** — board seat, supervise decisions

Advantages (7)

Long-term equity → solid capital base · partner sharing risk & reward · practical advice from experience · network of contacts · further funding rounds · experienced in preparing an **IPO** (incl. NASDAQ) · can facilitate a **trade sale**

THEORY

⑧ Stages of VC funding & risk matrix (SM 5.1.3.4)

Stage	Years locked	Risk	Activity financed
Seed money	7–10	Extreme	Prove a concept / idea, R&D; low-level financing
Start-up	5–9	Very high	Prototypes, product development & marketing
First stage	3–7	High	Commercial production & marketing (early sales)
Second stage	3–5	Sufficiently high	Expanding market, working capital — selling but ***not yet profitable***
Third stage	1–3	Medium	Expansion, acquisition, product development for a ***profit-making*** company — ***Mezzanine financing***
Fourth stage	1–3	Low	Going public — ***Bridge financing***

⑨ VC investment process (SM 5.2) — 6 steps

1. ***Deal origination*** — directly or via intermediaries (mainly practising CAs); VC states sector, stage, promoter, turnover focus; company gives ***Investment Memorandum*** (business model, financial plan, exit plan, tentative valuation)
2. ***Screening*** — committee of senior VC people
3. ***Due diligence*** — verify documents; usually external consultants; fee paid by VC or shared
4. ***Deal structuring*** — both win; convertible structure lets promoter buy back; ***tag-along clause*** — promoter must sell part of stake along with VC
5. ***Post-investment*** — VC nominee on board; strong MIS, budgeting, governance, covenants, milestone reporting; professional management
6. ***Exit plan*** — (a) sell to third parties (IPO or private placement to other VCs) (b) promoter ***buy-back*** at pre-agreed rate (IRR generally ***18–25%***), often as right of first refusal

⑩ VC funds in India (SM 6)

→ ***Evolution***: committee in the 1970s; first all-India VC funding by ***IDBI, ICICI, IFCI*** about ten years later; CCI guidelines Nov 1988 (narrow, restrictive); World Bank seminar → TDICICI, GVFL, Canbank, Pathfinder; CCI abolished; foreign finance cos allowed ***1995***; re-regulation 1996 favoured foreign players; boost from IT revolution ***1997***; dotcom bust → shift to later-stage funding

→ ***Formation***: trust · company · LLP. ***Investors***: FIs, banks, pension funds, corporations, HNIs

→ ***Structures***: ***domestic*** — pooling vehicle (trust or company; ***trust preferred*** for flexibility; India doesn't recognise limited partnerships) + separate investment adviser · ***offshore*** — LLC / LP abroad invests directly, managed offshore, Indian adviser does diligence · ***unified*** — offshore vehicle invests in a local trust into which domestic investors contribute directly

11 Startup India (SM 7)

Launched **16 Jan 2016**. Per **GSR 127(E), 19 Feb 2019**, an entity is a startup: (i) up to **10 years** from incorporation, as a **private limited company, registered partnership firm or LLP** in India (ii) turnover **≤ ₹100 crore** in every year since incorporation (iii) working on innovation / improvement of products, processes or services, or a scalable model with high employment or wealth creation. **Not** if formed by splitting up or reconstructing an existing business.

- → Startup India & StandUp India (2016); SIDBI-run **Electronic Development Fund** — government an LP for the first time; Mudra; **100% tax holiday u/s 80-IAC**; exemption from angel tax
- → **Startup India Seed Fund Scheme (SISFS)**, DPIIT, Jan 2021: **₹945 crore**; ~3,600 entrepreneurs via 300 incubators over 4 years; DPIIT-recognised, incorporated **≤ 2 years** before applying; up to **₹50 lakh**; proof of concept, prototype, trials, market entry, commercialisation
- → Why India thrives: (i) talent pool (ii) cost-effective workforce (10 m+ join yearly) (iii) internet use (2nd largest base) (iv) technology (AI, blockchain) (v) variety of funding; 100% automatic FDI route in most sectors

12 Succession planning (SM 8)

- → Identify critical positions and develop people to fill them; vital for family businesses (often non-family leader, family ownership); can be a **liquidity event** transferring ownership to rising employees
- → **Need (5)**: risk mitigation (search takes 6–9 months) · cause removal (fraud, gross negligence, barred leader) · talent pipeline · conflict resolution · aligning culture, vision, values
- → **Strategy (4 steps)**: evaluate key leadership positions → map competencies needed → identify competencies of current workforce (train / hire outside) → **bridge leader** (outsider who prepares young family members)
- → **Challenges in startups (3)**: founder mindset ≠ corporate mindset · premature (processes slow growth) · founders are the face of the startup

13 Correlation — how Ch 15 actually connects

Ch 15 idea	The actual link (app-written cross-reference; the Ch 15 side is SM)
VC illiquidity premium, buy-back at 18–25% IRR	**Ch 5 / Ch 13**: required return = risk-free + premiums; the buy-back rate is the VC's target IRR — discount exit value at it to price the entry stake.
Exit by IPO / trade sale	**Ch 14**: trade sale = acquisition; VC exit is one reason companies are sold; SPAC is another route to listing.
Factoring, vendor & PO financing	**FM (WC)**: working-capital finance; **Ch 11**: accelerating cash inflows and receivables management.
Unicorn valuation	**Ch 13 / Ch 5**: startups valued on narrative (scalability, growth) — the SM Ch 5 valuer's precaution "numbers vs story".
Business-model gross margin	**Ch 1**: strategy + finance + management; pitch "projections" = financial planning (FR + FT + FG).
Startup definition, 80-IAC	**DT / FR**: tax holiday. Convertible debt from angels: the **issuer** splits it under Ind AS 32 if it is a compound instrument; the **holder** carries it at FVTPL under Ind AS 109.

13 Startup Finance — what ICAI asked (Sep 2025, Jan 2026, May 2026)

12 marks *set across the last three attempts (3.4% of marks set). Question labels and marks are ICAI's; the one-line concept descriptions are app-written.*

Attempt	Question	Marks	Concept tested
Sep 2025	Q1(c)	4	Steps in a business succession strategy (evaluate key positions, map competencies, identify workforce competencies, bridge leader) (Theory)
Jan 2026	Q6(c) [either]	4	Role of government in creating a sustainable environment for start-ups in India (Theory)
May 2026	Q2(c)	4	True/False with justification on start-up finance: valuation of early-stage firms, venture capital staging, bootstrapping, angel investors (Theory)

What follows, exactly as ICAI printed it in the AFM study material: (1) Test Your Knowledge theory questions, with the SM paragraph ICAI's answer points to; (2) every SM illustration with ICAI's solution, grouped by SM section; (3) Test Your Knowledge practical questions with ICAI's solutions.

Theory questions (SM Test Your Knowledge) with ICAI answers

Theory Q1

1. Explain some of the innovative sources for funding a start-up.

ICAI answer: "Please refer paragraph 2" – SM paragraph 2 reproduced

2. SOME OF THE INNOVATIVE WAYS TO FINANCE A STARTUP

Every startup needs access to capital, whether for funding product development, acquiring machinery and inventory or paying salaries to its employee. Most entrepreneurs think first of bank loans as the primary source of money, only to find out that banks are really the least likely benefactors for startups. So, innovative measures include maximizing non-bank financing.

Here are some of the sources for funding a startup:

(i) **Personal financing:** It may not seem to be innovative but you may be surprised to note that most budding entrepreneurs never thought of saving any money to start a business. This is important because most of the investors will not put money into a deal if they see that you have not contributed any money from your personal sources.

(ii) **Personal credit lines:** One qualifies for personal credit line based on one's personal credit efforts. Credit cards are a good example of this. However, banks are very cautious while granting personal credit lines. They provide this facility only when the business has enough cash flow to repay the line of credit.

(iii) Family and friends: These are the people who generally believe in you, without even thinking that your idea works or not. However, the loan obligations to friends and relatives should always be in writing as a promissory note or otherwise.

(iv) Peer-to-peer lending: In this process a group of people come together and lend money to each other. Peer to peer lending has been there for many years. Many small and ethnic business groups having similar faith or interest generally support each other in their start up endeavors.

(v) Crowdfunding: Crowdfunding is the use of small amounts of capital from a large number of individuals to finance a new business initiative. Crowdfunding makes use of the easy accessibility of vast networks of people through social media and crowdfunding websites to bring investors and entrepreneurs together.

(vi) Microloans: Microloans are small loans that are given by individuals at lower interest rates to new business ventures. These loans can be issued by a single individual or aggregated across a number of individuals who each contribute a portion of the total amount.

(vii) Vendor financing: Vendor financing is the form of financing in which a company lends money to one of its customers so that he can buy products from the company itself. Vendor financing also takes place when many manufacturers and distributors are convinced to defer payment until the goods are sold. This means extending the payment terms to a longer period for e.g. 30 days payment period can be extended to 45 days or 60 days. However, this depends on one's credit worthiness and payment of more money.

(viii) Purchase order financing: The most common scaling problem faced by startups is the inability to find a large new order. The reason is that they don't have the necessary cash to produce and deliver the product. Purchase order financing companies often advance the required funds directly to the supplier. This allows the completion of transaction and profit flows up to the new business.

(ix) Factoring accounts receivables: In this method, a facility is given to the seller who has sold the good on credit to fund his receivables till the amount is fully received. So, when the goods are sold on credit, and the credit period (i.e. the date upto which payment shall be made) is for example 6 months, the factoring company will pay most (say 80-90%) of the outstanding amount upfront. The balance amount will be paid on due date once the factoring company has received the full amount from customer after deducting it's interest charges. In this way, a startup can raise funds to pay it's day-to-day expenses.

ICAI answer: "Please refer paragraph 3" – SM paragraph 3 reproduced

3. PITCH PRESENTATION

Pitch presentation is a short and brief presentation (not more than 20 minutes) to investors explaining about the prospects of the company and why they should invest into the startup business. So, pitch deck presentation is a brief presentation using PowerPoint to provide a quick overview of business plan and convincing the investors to put some money into the business. A pitch presentation can be made either during face-to-face meetings or online meetings with potential investors, customers, partners, and co-founders. Here are some points to be kept in mind while preparing a pitch presentation:

(i) Introduction: To start with, first step is to give a brief account of yourself i.e. who are you? What are you doing? But care should be taken to make it short. Also, use this opportunity to get your investors interested in your company. You can also mention the most interesting facts about your business, as well as any major milestones you may have achieved.

(ii) Team: The next step is to introduce the audience to the people behind the scenes. The reason is that the investors will want to know the people who are going to make the product or service successful. Moreover, the investors are not only putting money towards the idea but they are also investing in the team. Also, an attempt should be made to include the background of the promoter, and how it relates to the new company. Moreover, in case the team has worked together in the past then highlight significant results achieved by the team members.

(iii) Problem: Further, the promoter should be able to explain the problem that the startup is going to solve and solutions emerging from it. It is important to convince the investors that the newly introduced product or service will solve the problem.

For instance, when Facebook was launched in 2004, it added some new features which made it stand out in comparison to Orkut which was there for some time. Customers have no privacy while using Orkut. However, in Facebook, you can view a person's profile only if he adds you to his list. This simple yet effective advantage that Facebook has over Orkut made it an extremely popular social networking site. It enabled Facebook to become an instant hit.

(iv) Solution: It is very important to describe in the pitch presentation as to how the company is planning to solve the problem. For instance, when Flipkart first started its business in 2007, it brought the concept of e-commerce in India but when they started, payment through credit card was rare. So, they introduced the system of cash on delivery which was later followed by other e-commerce companies in India. The second problem was the entire supply chain system. Delivering goods on time is one of the most important factors that determines the success of an e-commerce company. Flipkart addressed this issue by launching their own supply chain management system to deliver

orders in a timely manner. These innovative techniques used by Flipkart enabled them to raise a large amount of capital from the investors.

(v) Marketing/Sales: This is a very important part where investors will be deeply interested. The market size of the product must be communicated to the investors. This can include profiles of target customers, but one should be prepared to answer questions about how the promoter is planning to attract the customers. If a business is already selling goods, the promoter can also brief the investors about the growth and future revenue forecasts.

(vi) Projections or Milestones: It is true that it is difficult to make financial projections for a startup concern. If an organization doesn't have a long financial history, an educated guess can be made. Projected financial statements can be prepared which gives potential investors a brief idea about where is the business heading. It tells us that whether the business will be making profit or loss.

Financial projections include three basic documents that make up a business's financial statements.

- **Income statement:** This estimate how much money the business will generate by projecting income and expenses. It will show:
  - ❖ How much revenue did the business generate?
  - ❖ How much did it cost to generate and support that revenue?
  - ❖ How much did the business pay its employees?
  - ❖ How much did it pay towards rent?

  For your first year in business, you'll want to create a monthly income statement. For the second year, quarterly statements will suffice. For the following years, you'll just need an annual income statement.
- **Cash flow statement:** A projected cash flow statement will depict how much cash will be coming into the business and how much cash will be utilized. At the end of each period (e.g. monthly, quarterly, annually), one can tally it all up to show either the cash burn or the cash generated during the period and the cash balance remaining at the end of the period.
- **Balance sheet:** The balance sheet shows the business's overall finances including assets, liabilities and equity. Typically, one will create an annual balance sheet for one's financial projections. It shows:
  - ❖ How much cash is in the bank?
  - ❖ How much money does the company owe to suppliers?

- ❖ How much money has been invested in the company?

(vii) Competition: Every business organization has competition even if the product or service offered is new and unique. It is necessary to highlight in the pitch presentation as to how the products or services are different from their competitors. If any of the competitors have been acquired, their complete details like name of the organization, acquisition prices etc. should also be highlighted.

(viii) Business Model: The term business model is a wide term denoting core aspects of a business including purpose, business process, target customers, offerings, strategies, infrastructure, organizational structures, sourcing, trading practices, operational processes and policies including culture.

Further, as per Investopedia, a business model is the way in which a company generates revenue and makes a profit from its operations. Analysts use the term gross profit as a way to compare the efficiency and effectiveness of a firm's business model. Gross profit is calculated by subtracting the cost of goods sold from revenues.

A business model can be illustrated with the help of an example. There are two companies – company A and company B. Both the companies are engaged in the business of renting movies. Prior to the advent of internet both the companies rent movies physically. Both the companies made ₹ 5 crore as revenues. Cost of goods sold was ₹ 4 crore. So, the companies made ₹ 1 crore as gross profit. After the introduction of internet, company A started to offer movies online instead of renting or selling it physically. This change affected the business model of company A positively. Revenue is still ₹ 5 crore but the significant part is that cost of goods sold is now ₹ 2 crore only. This is because online sales lead to significant reduction of storage and distribution costs. So, the gross profit margin increases from 20% to 60%.

Therefore, Company A isn't making more in sales, but it figured out a way to revolutionize its business model, which greatly reduces costs. Managers at company A have an additional 40% more in margin to play with than managers at company A. Managers at company A have little room for error and must tread carefully.

Every investor wants to get his money back, so it's important to tell them in a pitch presentation as to how the startup is planning to generate revenue. It is better to show the investors a list of the various revenue streams for a business model and the timeline for each of them. Further, the pitch should clarify how the startup in planning to price the product and how does it compare to what the competitors charge for the same or similar product. It is also beneficial to discuss the cost of acquisition, lifetime value of the customer and what strategy the startup is planning to use to retain the customer.

(ix) Financing: If a startup has raised money, it is preferable to talk about how much money has already been raised, who invested money and how that money has been used. If no money has been raised till date, an explanation can be made regarding how much work has been accomplished with the help of minimum funding that the company is managed to raise.

It is true that investors like to see entrepreneurs who have invested their own money. If a promoter is pitching to raise capital, he should list out how much he is looking to raise and how he intends to use the funds.

Theory Q2

2. What do you mean by Pitch Presentation in context of Start-up Business?

ICAI answer

2. Please refer paragraph 3.

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